

STATE OF IOWA
KIM REYNOLDS
GOVERNOR

April 25, 2025

The Honorable Paul Pate
Secretary of State of Iowa
State Capitol
Des Moines, Iowa 50319

Dear Mr. Secretary,

I hereby transmit:

Senate File 574, an Act relating to retention of fees for public improvement contracts.

The above Senate File is hereby approved on this date.

Sincerely,

A handwritten signature in black ink, appearing to read "Kim Reynolds", written over the printed name.

Kim Reynolds
Governor of Iowa

cc: Secretary of the Senate
Clerk of the House



Senate File 574

AN ACT

RELATING TO RETENTION OF FEES FOR PUBLIC IMPROVEMENT CONTRACTS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

Section 1. Section 573.12, subsection 1, paragraphs a and b, Code 2025, are amended to read as follows:

a. Payments made under contracts for the construction of public improvements, unless provided otherwise by law, shall be made on the basis of monthly estimates of labor performed and material delivered, as determined by the project architect or engineer. The public corporation shall retain from each monthly payment not more than five three percent of that amount ~~which that~~ is determined to be due according to the estimate of the architect or engineer.

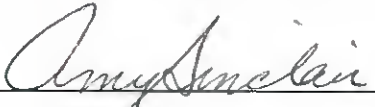
b. The contractor may retain from each payment to a subcontractor not more than the lesser of five three percent or the amount specified in the contract between the contractor and the subcontractor.

Sec. 2. Section 573.13, Code 2025, is amended to read as follows:

573.13 Inviolability and disposition of fund.

A public corporation shall not be permitted to plead noncompliance with section 573.12 and the retained percentage of the contract price, which in no case shall be more than five three percent, constitutes a fund for the payment of claims for materials furnished and labor performed on the improvement

and shall be held and disposed of by the public corporation as provided in this chapter.



AMY SINCLAIR
President of the Senate



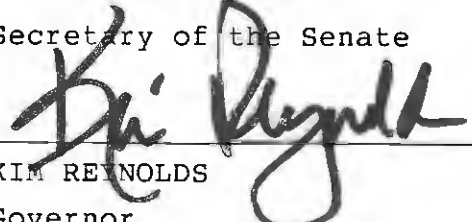
PAT GRASSLEY
Speaker of the House

I hereby certify that this bill originated in the Senate and is known as Senate File 574, Ninety-first General Assembly.



W. CHARLES SMITHSON
Secretary of the Senate

Approved April 25th, 2025



KIM REYNOLDS
Governor